

# M/s G.M.K. Steels Pvt. Ltd. v. Pashchimanchal Vidyut Vitran Nigam Ltd.

High Court of Judicature at Allahabad · Division Bench · 31 May 2016 · Writ-C No. 74213 of 2005 · **Writ dismissed; additional-security demand and clause 4.20 challenge fail.**

## HEADNOTE

A consumer's challenge to an additional-security demand and to clause 4.20 of the U.P. Electricity Supply Code, 2005 as inconsistent with section 47 of the Electricity Act, 2003 (pre-payment meter in lieu of security; interest on security already paid) failed. None appearing, the Division Bench perused the record, found no ground for any of the reliefs, dismissed the writ and vacated any interim order.

## FACTUAL SUMMARY

M/s G.M.K. Steels challenged Pashchimanchal Vidyut Vitran Nigam's 22 November 2005 demand for additional security of Rs 34,55,200 and a 11 February 2005 Ministry of Power clarificatory letter. It sought a declaration that clause 4.20 of the U.P. Electricity Supply Code, 2005 was ultra vires the Electricity Act, 2003 for deferring pre-payment meters, plus mandamus for a section 47(5) pre-payment meter and refund of Rs 60,10,900 security with 12% interest under section 47(4). None appeared at the hearing.

## HOLDING-UNITS

### INTERPLAY · UP-2005::4.20

additional security and pre-payment meter

#### HOLDING

Having perused the record in the absence of counsel, the Court found no ground to quash the 22.11.2005 additional-security demand of Rs 34,55,200, to declare clause 4.20 of the U.P. Electricity Supply Code, 2005 ultra vires section 47 of the Electricity Act, 2003, to mandamus a pre-payment meter under section 47(5), or to refund existing security with 12% interest under section 47(4). The writ was dismissed and any interim order vacated. ¶ 3-5

### HOLDING-UNIT · EA2003::47

pre-payment meter and interest on security

#### HOLDING

Relief under section 47(4) and 47(5) of the Electricity Act, 2003—installation of a pre-payment meter, restraint from levying security under the repealed law, and refund or adjustment of Rs 60,10,900 security with 12% interest—was refused along with the rest of the writ. ¶ 2-4

## PRINCIPLE TAGS

**s47-4-interest-on-security-at-bank-rate-from-enactment** A consumer's challenge to an additional-security demand and to clause 4.20 of the U.P. Electricity Supply Code, 2005 as inconsistent with section 47 of the Electricity Act, 2003 (pre-payment meter in lieu of security; interest on security already paid) failed.. ¶ 3-5

**security-deposit-is-advance-payment-not-debt** A consumer's challenge to an additional-security demand and to clause 4.20 of the U.P. Electricity Supply Code, 2005 as inconsistent with section 47 of the Electricity Act, 2003 (pre-payment meter in lieu of security; interest on security already paid) failed.. ¶ 3-5

